Income Tax Slabs and Rates - Old & New Tax Regime FY 2025-26 (AY 2026-27)

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Updated on: Mar 5th, 2026

Income tax slabs are the income ranges set by the government that determine how much tax you pay based on how much you earn, the more you earn the higher tax rate is applied to that income portion. Unlike a flat tax rate, India follows a progressive tax system where only the income falling within each slab is taxed at that slab's rate. This means if you earn Rs. 12 lakh, you do not pay 10% tax on your Rs. 12 lakh income rather, you pay 0% on the first Rs. 4 lakh, 5% on the next Rs. 4 lakh, and 10% on the remaining Rs. 4 lakh.

For FY 2025-26 and FY 2026-27, Indian taxpayers can choose between the **New Tax Regime** (default tax regime) and **Old Tax Regime** (optional tax regime) depending on which tax regime is more beneficial to the taxpayer. Choosing the right regime ensures minimum tax liability and maximum tax savings.

Current Income Tax Slabs

The current income tax slabs under **Old Tax Regime** are as follows: 0% up to Rs. 2.5 lakh, 5% on Rs. 2.5 lakh to Rs. 5 lakh, 20% on Rs. 5 lakh to Rs. 10 lakh, and 30% on income above Rs. 10 lakh.

The **New Tax Regime slabs** are 0% up to Rs. 4 lakh, 5% on Rs. 4 lakh to Rs. 8 lakh, 10% on Rs. 8 lakh to Rs. 12 lakh, 15% on Rs. 12 lakh to Rs. 16 lakh, 20% on Rs. 16 lakh to Rs. 20 lakh, 25% on Rs. 20 lakh to Rs. 24 lakh, and 30% on income above Rs. 24 lakh.

New Tax Regime Slabs For FY 2025-26 (AY 2026-27)

Section 115BAC new tax regime is the default tax regime for FY 2025-26. It offers lowers tax rates with limited deductions and a basic exemption limit of Rs. 4 lakh. The new tax regime slabs are as follows:

New Tax Regime Slabs	New Tax Regime Rates
Up to Rs. 4 lakh	Nil
Rs. 4 lakh to Rs. 8 lakh	5%
Rs. 8 lakh to Rs. 12 lakh	10%
Rs. 12 lakh to Rs. 16 lakh	15%
Rs. 16 lakh to Rs. 20 lakh	20%
Rs. 20 lakh to Rs. 24 lakh	25%
Above Rs. 24 lakh	30%

Key Feature of the New Tax Regime:

- Standard deduction of Rs. 75,000 for salaried employees.
- Income up to Rs. 12 lakh is effectively tax-free due to tax rebate under Section 87A
- Deductions such as HRA, 80C, 80D etc., are disallowed under the new tax regime.

Old Tax Regime Slabs For FY 2025-26 (AY 2026-27)

The old tax regime offers multiple tax saving deductions and exemptions but a higher tax rate. Taxpayers can opt for old tax regime if it is more beneficial.

Income Tax Slabs	Income Tax Rate
Up to Rs. 2.5 lakh	Nil

Rs. 2.5 lakh to Rs. 5 lakh	5%
Rs. 5 lakh to Rs. 10 lakh	20%
Above Rs. 10 lakh	30%

Key Features of the Old Tax Regime:

- The old tax regime offers higher basic exemption limit of Rs. 3 lakh for senior citizens and Rs. 5 lakh for super senior citizens.
- Standard deduction of Rs. 50,000 is allowed for salaried individuals.
- The old tax regime offers various tax saving deductions and exemptions.
- Income up to Rs. 5 lakh is tax-free due to Section 87A rebate.

Section 87A Rebate & Standard Deduction

Section 87A of the Income Tax Act offers a tax rebate to reduce the final tax liability to zero if your taxable income falls under the specified income limit. However, tax rebate is not a deduction, rather applies after your tax liability is calculated.

1. Rebate Under Section 87A

- The new tax regime offers a tax rebate of up to Rs. 60,000 thus effectively making taxable income up to Rs. 12 lakh tax-free.
- The old tax regime offers a tax rebate of Rs. 12,500 making taxable income up to Rs. 5 lakh tax-free.
- Rebate is not allowed for incomes taxed at special rates such as capital gains under Section 111A and 112A.

2. Standard Deduction

A flat standard deduction is available to salaried taxpayers and pensioners under the head "Income From Salary". For FY 2025-26, the standard deduction under

- New tax regime is Rs. 75,000 and
- Old tax regime is Rs. 50,000.

3. Example

Mr. X earns a salary income of Rs. 11.75 lakh in FY 2025-26 and opts for the new tax regime. After the standard deduction of Rs. 75,000 his taxable income will be Rs. 11 lakh. Here's how Section 87A rebate works:

Slab	Amount	Tax
Up to Rs. 4 lakh	Rs. 4 lakh @ 0%	Nil
Rs. 4 lakh to Rs. 8 lakh	Rs. 4 lakh @ 5%	20,000
Rs. 8 lakh to Rs. 11 lakh	Rs. 3 lakh @ 10%	30,000
Total Tax Before Rebate		**50,000**
Rebate u/s 87A		- 50,000
Net Tax Liability		**0**

Since, Section 87A offers a tax rebate up to Rs. 60,000 and Mr. X's tax liability was Rs. 50,000, he is eligible for a tax rebate. Thus, bringing his net tax liability to Zero and saving Rs. 50,000 in taxes.

Surcharge & Cess

Surcharge is an additional tax that is applicable only if your total income exceeds certain threshold limits. The surcharge rates are as follows:

Income Limit	New Tax Regime	Old Tax Regime
Up to Rs. 50 lakh	Nil	Nil
Rs. 50 lakh to Rs. 1 Crore	10%	10%
Rs. 1 Crore to Rs. 2 Crore	15%	15%
Rs. 2 Crore to Rs. 5 Crore	25%	25%
Above Rs. 5 Crore	25%	37%

All taxpayers pay a 4% health & education cess on their tax liability irrespective of their income limit.

Income Tax Slabs For Specific Categories

1. Income Tax Slabs For Senior Citizens (Aged 60 to 80)

The old tax regime offers a higher basic exemption limit to resident senior citizens.

Income Tax Slabs	Income Tax Rate
Up to Rs. 3 lakh	Nil
Rs. 3 lakh to Rs. 5 lakh	5%
Rs. 5 lakh to Rs. 10 lakh	20%
Above Rs. 10 lakh	30%

However, the new tax regime slab rate remains the same.

2. Income Tax Slabs For Super Senior Citizens (Aged 80+ years)

For resident taxpayers aged above 80 years the basic exemption limit under the old tax regime is Rs. 5 lakh.

Income Tax Slabs	Income Tax Rate
Up to Rs. 5 lakh	Nil
Rs. 5 lakh to Rs. 10 lakh	20%
Above Rs. 10 lakh	30%

The new tax regime slabs remain the same with no such higher basic exemption limits.

3. Income Tax Slabs For Women

The income tax slabs for women remain the same at the existing rates under both the old and new tax regime. The Income Tax Act does not offer different tax slabs and rates for women.

4. Income Tax Slabs For NRIs

NRIs also can choose between the old and new tax regime. The tax slabs for NRIs are the same with a basic exemption limit of Rs. 4 lakh under the new tax regime and a basic exemption limit of Rs. 2.5 lakh under the old tax regime.

However, NRIs do not enjoy basic exemption limit relaxation for senior & super senior citizens under the old tax regime, as it is only available for resident taxpayers.

5. Income Tax Slabs For HUF

The new tax regime is the default tax regime for HUFs and the tax slabs remain the same with a basic exemption limit up to Rs. 4 lakh. HUFs also

have the option to opt for the old tax regime with a basic exemption limit of Rs. 2.5 lakh.

Special Income Tax Rates

The Income Tax Act taxes certain incomes at a special flat rate instead of the normal slab rates. These incomes include Short-term capital gains under Section 111A, Long-term capital gains, Lottery or game show winnings and gains from virtual digital assets.

Income Type	Tax Rate
Short-term Capital Gains (Section 111A)	20%
Long-term Capital Gains	12.5%
Lottery or Game show winnings	30%
Crypto or Virtual Digital Assets	30%

Income Tax Slabs For FY 2026-27 (AY 2027-28)

As proposed in Budget 2026, there are no changes to the tax slabs for FY 2026-27. This means that the existing tax slabs and rates will be applicable as it is under both the new and old tax regime. Taxpayers continue to enjoy the same basic exemption limits of

- Rs. 4 lakh under new tax regime
- Rs. 2.5 lakh old tax regime

The new tax regime under Section 115BAC continues to be the default tax regime.

Income Tax Slabs Comparison For FY 2023-24, FY 2024-25 & FY 2025-26

The old tax regime slabs have remained unchanged over the years. However, there have been significant changes in the new tax regime slabs. The following new tax regime changes were made:

Income Tax Slab	FY 2023-24	FY 2024-25	FY 2025-26
Up to Rs. 3 lakh	Nil	Nil	Nil
Rs. 3 lakh to Rs. 4 lakh	5%	5%	Nil
Rs. 4 lakh to Rs. 6 lakh	5%	5%	5%
Rs. 6 lakh to Rs. 7 lakh	10%	5%	5%
Rs. 7 lakh to Rs. 8 lakh	10%	10%	5%
Rs. 8 lakh to Rs. 9 lakh	10%	10%	10%
Rs. 9 lakh to Rs. 10 lakh	15%	10%	10%
Rs. 10 lakh to Rs. 12 lakh	15%	15%	10%
Rs. 12 lakh to Rs. 15 lakh	20%	15%	15%
Rs. 15 lakh to Rs. 16 lakh	30%	20%	15%
Rs. 16 lakh to Rs. 20 lakh	30%	20%	20%
Rs. 20 lakh to Rs. 24 lakh	30%	30%	25%
Above Rs. 24 lakh	30%	30%	30%

Key Changes in Income Tax Slabs

- FY 2023-24 restructured the slabs and increased the basic exemption limit from Rs. 2.5 lakh to Rs. 3 lakh.
- Slabs were restructured again in FY 2025-26 and the basic exemption limit was increased to Rs. 4 lakh from Rs. 3 lakh.

- The tax-free limit was increased to Rs. 12 lakh in FY 2025-26 from Rs. 7 lakh in Rs. 2024-25 due to increase in Section 87A rebate limit.

Old v/s New Tax Regime - Which is Better For FY 2025-26?

Which tax regime is better depends on the deductions and exemptions that are allowed to the taxpayer. The new tax regime offers a lower tax slab rate but disallows most of the deductions. However, the old tax regime has higher tax slab rates but lets you reduce the taxable income through significant deductions and exemptions.

Key Differences Between Old and New Tax Regime

Feature	Old Tax Regime	New Tax Regime
Default Regime	No	Yes
Basic Exemption Limit	Rs. 2.5 lakh	Rs. 4 lakh
Rebate u/s 87A	Rs. 12,500 (income up to Rs. 5 lakh)	Rs. 60,000 (income up to Rs. 12 lakh)
Standard Deduction	Rs. 50,000	Rs. 75,000
Section 80C Deductions	Allowed	Not Allowed
HRA Exemption	Allowed	Not Allowed
Home loan interest (Self-occupied)	Allowed	Not Allowed
NPS Deduction	Fully Allowed	Only Employer Contribution
Set-off of House property losses	Allowed	Not Allowed

Section 80D Deduction	Allowed	Not Allowed

Therefore, choose the old tax regime when you have significant deductions and exemptions to claim. Else, choose the new tax regime.

How to Calculate Income Tax For FY 2025-26?

Income tax is calculated by reducing the deductions and exemptions from the gross total income, applying slab rates, and adjusting rebates, cess and prepaid taxes. Follow these steps to calculate income tax liability under the Income Tax Act:

Step 1: Calculate Gross Total Income by adding salary, house property, business or profession, other sources and capital gains.

Step 2: Reduce eligible deductions or exemptions based on the regime chosen

Step 3: Compute the taxable income.

Step 4: Apply slab rates and compute tax as per the chosen regime.

Step 5: Apply and claim rebate if eligible.

Step 6: Add cess at 4% (and surcharge, if applicable) on tax computed in Step 4.

Step 7: Reduce TDS, TCS, or advance tax already paid to find net payable or refund.

Income Tax Calculation Example

Example 1

Mr. Raj has a salary income of Rs. 15 lakhs. His taxable income and tax liability for FY 2025-26 (AY 2026-27) will be computed as follows under the new tax regime to save taxes:

Particulars	Amount
Income From Salary	15,00,000
(-) Standard Deduction	- 75,000
Taxable Income for FY 2025-26 (AY 2026-27)	**14,25,000**

The tax liability of Mr. Raj will be calculated as follows:

Income Tax Slabs		Tax Liability
Up to Rs. 4 lakh	Rs. 4 lakh @ 0%	0
Rs. 4 lakh to Rs. 8 lakh	Rs. 4 lakh @ 5%	20,000
Rs. 8 lakh to Rs. 12 lakh	Rs. 4 lakh @ 10%	40,000
Rs. 12 lakh to Rs. 14.25 lakh	Rs. 2.25 lakh @ 15%	33,750
Total		**93,750**
Add: Health & Education Cess @ 4%		3,750
Total Tax Liability (New Tax Regime)		**97,500**

Therefore, the tax liability of Mr. Raj for FY 2025-26 (AY 2026-27) under the new tax regime is Rs. 97,500.

Example 2

Mr. Anban for FY 2025-26 has the following incomes, exemptions and deductions.

- Salary - Rs. 25 lakh
- HRA Exemption Rs. 4 lakh
- 80C Deduction - Rs. 1.5 lakh
- 80D Deduction - Rs. 25,000

His taxable income and tax liability for FY 2025-26 (AY 2026-27) will be computed as follows:

Particulars	New Tax Regime	Old Tax Regime
Income From Salary	25,00,000	25,00,000
(-) Standard Deduction	- 75,000	- 50,000
(-) HRA Exemption		- 4,00,000
	24,25,000	20,40,000
Less: Other deductions		
(-) Section 80C		- 1,50,000
(-) Section 80D		- 25,000
Taxable Income	**24,25,000**	**18,75,000**

Mr. Anban's Tax Liability will be calculated as follows:

1. Under New Tax Regime

Income Tax Slabs		Tax Liability
Up to Rs. 4 lakh	Rs. 4 lakh @ 0%	0
Rs. 4 lakh to Rs. 8 lakh	Rs. 4 lakh @ 5%	20,000
Rs. 8 lakh to Rs. 12 lakh	Rs. 4 lakh @ 10%	40,000

Rs. 12 lakh to Rs. 16 lakh	Rs. 4 lakh @ 15%	60,000
Rs. 16 lakh to Rs. 20 lakh	Rs. 4 lakh @ 20%	80,000
Rs. 20 lakh to Rs. 24 lakh	Rs. 4 lakh @ 25%	1,00,000
Rs. 24 lakh to Rs. 24.25 lakh	Rs. 25,000 @ 30%	7,500
Total		**3,07,500**
Add: Health & Education Cess @ 4%		12,300
Total Tax Liability (New Tax Regime)		**3,19,800**

2. Under Old Tax Regime

Income Tax Slabs		**Tax Liability**
Up to Rs. 2.5 lakh	Rs. 2.5 lakh @ 0%	0
Rs. 2.5 lakh to Rs. 5 lakh	Rs. 2.5 lakh @ 5%	12,500
Rs. 5 lakh to Rs. 10 lakh	Rs. 5 lakh @ 20%	1,00,000
Above Rs. 10 lakh	Rs. 8.75 lakh @ 30%	2,62,500
Total		**3,75,000**
Add: Health & Education Cess @ 4%		15,000
Total Tax Liability (Old Tax Regime)		**3,90,000**

Therefore, tax liability of Mr. Anban for FY 2025-26 (AY 2026-27) is as follows:

Tax Regime	Tax Liability
New Tax Regime	3,19,800
Old Tax Regime	3,90,000

Therefore, by opting for New Tax Regime he can save Rs. 70,200 in taxes. However, many deductions & exemptions are not allowed under the new tax regime.

How to File ITR For FY 2025-26?

After determining the tax payable or refund due, the next step is filing the Income Tax Return. It is important to choose the right ITR form and understand how to file ITR correctly. Taxpayers should file their ITRs before the specified due dates to avoid late fees and interest. The due date to file ITR for FY 2025-26 (AY 2026-27) is 31st July 2026.